

To understand why, start by thinking of the way a standard 10-year term life insurance policy works. You pay a relatively small monthly premium in exchange for a very large payout to your beneficiary in the event of your death. The probability of dying during the next few years might be extremely small (say, 1 in 10,000), but the magnitude of loss is enormous, due to the loss of human capital.

Recall from Figure 1.4 that as you age, the value of your human capital is usually converted into financial capital. During your working life, you manufacture wealth and money by spending effort. You want to insure all the effort you will be investing during your working years, which is precisely why you purchase life insurance. Figure 2.1 illustrates this point in a graphical manner.

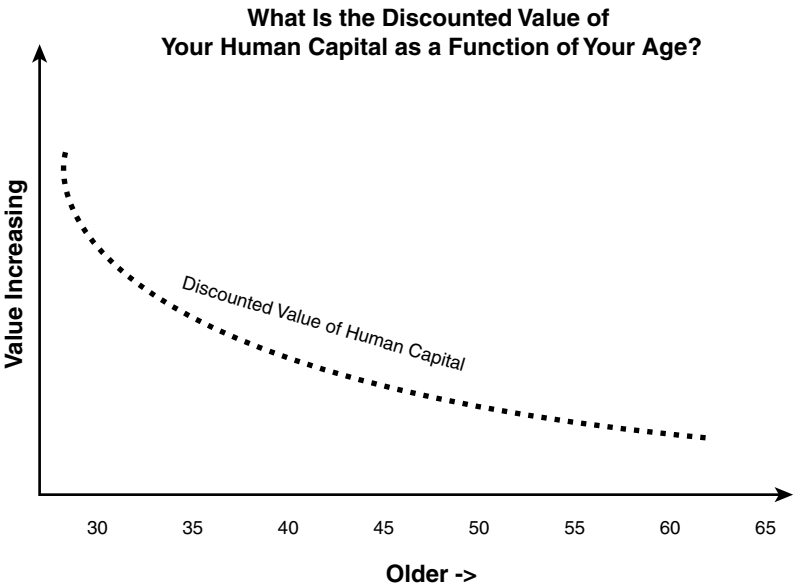


Figure 2.1 Crude, but you get the point.

On the horizontal axis of the figure is your age, while the vertical axis shows the value of your human capital. Imagine that you have just graduated from school and are about to embark on a 30- to 40-year career. You have many productive work-years ahead of you, so the